

Jentech Precision Industrial (3653 TT)

 Target price: **TWD6,770.00** (from TWD6,770.00)

 Share price (12 Aug): **TWD4,470.00** | Up/downside: **+51.5%**

5 4 3 2 1


Buy
 (unchanged)

2Q26 review: improving profitability

- 2Q26 results: record-high gross and operating margins beat estimates
- Promising spec upgrade story; intact leading position
- Reaffirming our Buy (1) call and 12-month TP of TWD6,770

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What's new: Jentech announced its 2Q26 results on 12 August 2026 following market hours. We see Jentech as a leading global provider of thermal products for GPU projects, benefitting from the trend of rising TDP. We reaffirm our Buy (1) call (see our latest memo, [July 2026 revenue and June unaudited results ahead of estimates](#), 7 August 2026)

What's the impact: 2Q26 results beat. Jentech's 2Q26 revenue was TWD7,275m (+37.1% QoQ and +40.4% YoY), beating our estimate and the Bloomberg consensus by 2.1% and 5.2%, respectively. Its 2Q26 gross margin came in at 46.8% (vs. 41.8% in 1Q26 and 41.5% in 2Q25), a record-high level, above our estimate (45.0%) and the consensus (44.3%), which is mainly due to better product mix, ie, heat spreaders for Rubin. Its operating profit was TWD2,749m (+62.0% QoQ and +61.8% YoY), beating our and consensus estimates by 4.9% and 12.5%, respectively, and thus its operating margin of 37.8% (vs. 32.0% in 1Q26 and 32.8% in 2Q25), a record-high level, was also higher than our estimate (36.8%) and the consensus (35.3%). With some financial asset evaluation gains, its net profit was TWD2,318m (+65.8% QoQ and +106.8% YoY), which beat our estimate and the consensus by 9.3% and 17.9%, respectively. Its 2Q26 EPS came in at TWD15.80. Note its product mix for 2Q26 included heat spreaders (75.1%, +40.1% YoY), lead frames (8.6%, +33.2% YoY), electronic components (5.8%, +17.2% YoY), communication (0.9%, +103.6% YoY) and others (9.6%, +66.3% YoY).

Strong growth momentum should continue over 2H26-28E. Due to a brighter outlook for one-piece lids for Rubin, we now look for its 3Q26 revenue to grow by 27.3% QoQ vs. Bloomberg consensus of 9.1% QoQ. The removable lids are expected to start shipping from 4Q26, with an ASP of >USD200. We lower our 2026E EPS by 5%, mainly because we factor in the expense from restricted stock in 3Q26 (EPS of c.TWD8 impact) but raise our 2027-28E EPS by 3-4%, mainly on our more aggressive gross margin assumptions.

What we recommend: We reiterate our Buy (1) call with an unchanged 12M TP of TWD6,770, still based on a target PER of 73x (vs. its past-3-year PER range of 17-62x) applied to our 1-year forward EPS forecast. We believe our target valuation is fair, given Jentech's strong earnings visibility and leading position in chip-level thermal solutions, which we believe warrant a re-rating. Downside risks: weaker-than-expected global AI server demand; slower-than-expected thermal spec upgrades.

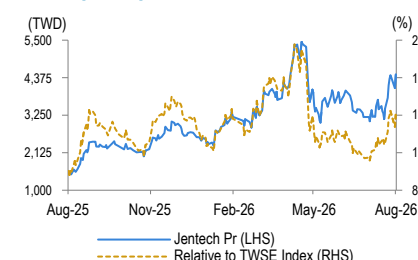
How we differ: Our 2026-28E EPS are 9-13% above consensus, likely as we are more aggressive in our revenue and gross margin assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(1.9)	(1.3)	(0.8)
Net profit change	(5.0)	2.8	3.5
Core EPS (FD) change	(5.0)	2.8	3.5

Source: Daiwa forecasts

Share price performance



12-month range	1,445.00-5,445.00
Market cap (USDbn)	20.31
3m avg daily turnover (USDm)	173.64
Shares outstanding (m)	147
Major shareholder	Chao family (40.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	32,045	56,314	80,180
Operating profit (m)	11,536	25,003	37,685
Net profit (m)	9,473	20,153	30,280
Core EPS (fully-diluted)	64.464	137.147	206.067
EPS change (%)	78.4	112.8	50.3
Daiwa vs Cons. EPS (%)	8.6	12.7	9.4
PER (x)	69.3	32.6	21.7
Dividend yield (%)	0.9	1.8	2.8
DPS	38.7	82.4	123.8
PBR (x)	21.9	14.8	10.5
EV/EBITDA (x)	52.1	24.8	16.4
ROE (%)	35.9	54.3	56.6

Source: FactSet, Daiwa forecasts

Jentech: revenue and earnings forecasts revisions

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	32,045	32,662	-1.9%	56,314	57,082	-1.3%	80,180	80,811	-0.8%
Gross profit	15,157	14,698	3.1%	28,157	27,399	2.8%	41,694	40,406	3.2%
Gross margin	47.3%	45.0%	2.3pp	50.0%	48.0%	2pp	52.0%	50.0%	2pp
Operating profit	11,536	12,281	-6.1%	25,003	24,317	2.8%	37,685	36,365	3.6%
Operating margin	36.0%	37.6%	-1.6pp	44.4%	42.6%	1.8pp	47.0%	45.0%	2pp
Net profit	9,473	9,969	-5.0%	20,153	19,601	2.8%	30,280	29,252	3.5%
Net margin	29.6%	30.5%	-1pp	35.8%	34.3%	1.4pp	37.8%	36.2%	1.6pp
Fully Diluted EPS (TWD)	64.46	67.88	-5.0%	137.15	133.46	2.8%	206.07	199.17	3.5%

Source: Daiwa forecasts

Jentech: 2Q26 results review

(TWDm)	Jentech's 2Q26 results	Daiwa's forecast	Differ	Bloomberg consensus	Differ
Revenue	7,275	7,123	2.1%	6,912	5.2%
Gross profit	3,405	3,205	6.2%	3,064	11.1%
Operating profit	2,749	2,621	4.9%	2,443	12.5%
Profit before tax	2,841	2,651	7.2%	2,440	16.4%
Net profit	2,318	2,121	9.3%	1,967	17.9%
EPS	15.80	14.45	9.3%	13.47	17.3%
Margin					
Gross margin	46.8%	45.0%	1.8pp	44.3%	2.5pp
Operating margin	37.8%	36.8%	1pp	35.3%	2.5pp
Pre-tax margin	39.1%	37.2%	1.8pp	35.3%	3.8pp
Net margin	31.9%	29.8%	2.1pp	28.5%	3.4pp

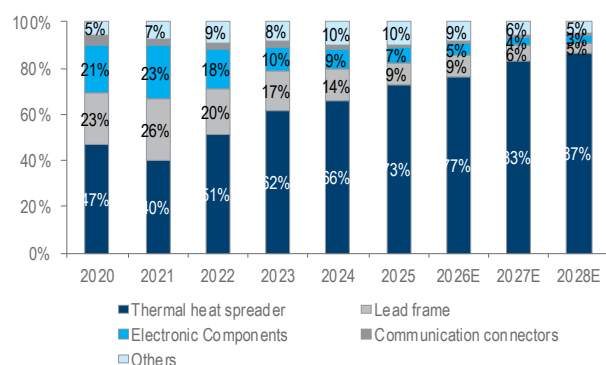
Source: Company, Bloomberg, Daiwa forecasts

Jentech: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	5,305	7,275	9,263	10,202	10,667	12,414	15,005	18,228	32,045	56,314	80,180
Gross profit	2,217	3,405	4,492	5,043	5,120	6,083	7,502	9,451	15,157	28,157	41,694
Operating profit	1,697	2,749	2,772	4,319	4,374	5,313	6,737	8,579	11,536	25,003	37,685
Pre-tax profit	1,776	2,841	2,859	4,356	4,404	5,343	6,767	8,609	11,831	25,123	37,745
Net profit	1,398	2,318	2,306	3,450	3,529	4,285	5,429	6,910	9,473	20,153	30,280
Basic EPS (TWD)	9.53	15.80	15.71	23.51	24.05	29.20	37.00	47.09	64.56	137.34	206.36
Margin											
Gross margin	41.8%	46.8%	48.5%	49.4%	48.0%	49.0%	50.0%	51.9%	47.3%	50.0%	52.0%
Operating margin	32.0%	37.8%	29.9%	42.3%	41.0%	42.8%	44.9%	47.1%	36.0%	44.4%	47.0%
Pre-tax margin	33.5%	39.1%	30.9%	42.7%	41.3%	43.0%	45.1%	47.2%	36.9%	44.6%	47.1%
Net margin	26.4%	31.9%	24.9%	33.8%	33.1%	34.5%	36.2%	37.9%	29.6%	35.8%	37.8%
YoY											
Revenue	11.6%	40.4%	82.7%	93.5%	101.1%	70.7%	62.0%	78.7%	58.0%	75.7%	42.4%
Gross profit	3.8%	58.4%	127.4%	131.9%	131.0%	78.7%	67.0%	87.4%	79.7%	85.8%	48.1%
Operating profit	1.8%	61.8%	86.7%	162.0%	157.8%	93.3%	143.1%	98.7%	77.5%	116.7%	50.7%
Pre-tax profit	2.0%	114.1%	65.9%	139.8%	148.0%	88.1%	136.7%	97.7%	79.1%	112.4%	50.2%
Net profit	2.0%	106.8%	70.0%	141.4%	152.4%	84.8%	135.5%	100.3%	79.5%	112.8%	50.3%
QoQ											
Revenue	0.6%	37.1%	27.3%	10.1%	4.6%	16.4%	20.9%	21.5%			
Gross profit	1.9%	53.6%	31.9%	12.3%	1.5%	18.8%	23.3%	26.0%			
Operating profit	2.9%	62.0%	0.8%	55.8%	1.3%	21.5%	26.8%	27.3%			
Pre-tax profit	-2.3%	60.0%	0.6%	52.4%	1.1%	21.3%	26.6%	27.2%			
Net profit	-2.2%	65.8%	-0.6%	49.6%	2.3%	21.4%	26.7%	27.3%			

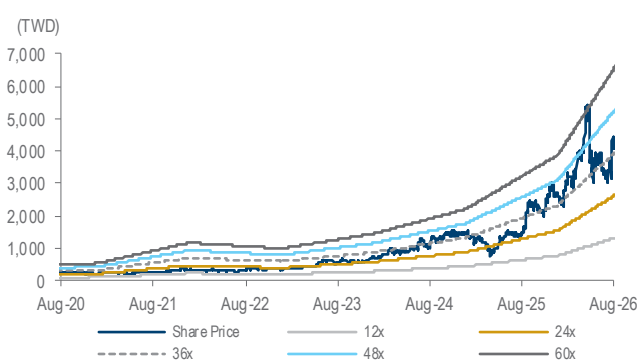
Source: Company, Daiwa forecasts

Jentech: product mix



Source: Company, Daiwa forecasts

Jentech: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal heat spreader revenue growth (%)	10.4	73.8	21.2	25.7	58.2	65.7	90.8	48.3
Lead frame revenue growth (%)	51.0	2.3	(13.1)	(5.8)	(4.1)	48.9	30.2	0.0
Electronic Components revenue growth (%)	41.4	4.7	(43.5)	3.5	15.9	17.9	23.2	21.6

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal heat spreader	3,533	6,139	7,444	9,358	14,804	24,533	46,799	69,395
Lead frame	2,326	2,380	2,068	1,948	1,868	2,780	3,620	3,620
Other Revenue	2,942	3,513	2,551	2,972	3,604	4,731	5,895	7,166
Total Revenue	8,801	12,032	12,063	14,278	20,276	32,045	56,314	80,180
Other income	0	0	0	0	0	0	0	0
COGS	(6,043)	(7,706)	(8,020)	(8,913)	(11,842)	(16,887)	(28,157)	(38,487)
SG&A	(658)	(838)	(838)	(969)	(1,196)	(2,660)	(1,915)	(2,405)
Other op.expenses	(390)	(454)	(527)	(598)	(740)	(961)	(1,239)	(1,604)
Operating profit	1,710	3,034	2,677	3,799	6,498	11,536	25,003	37,685
Net-interest inc./(exp.)	(25)	(16)	83	83	54	135	70	50
Assoc/forex/extraord./others	(93)	351	25	364	54	160	50	10
Pre-tax profit	1,592	3,369	2,786	4,245	6,607	11,831	25,123	37,745
Tax	(354)	(712)	(534)	(830)	(1,297)	(2,322)	(4,930)	(7,407)
Min. int./pref. div./others	(42)	(42)	46	13	(33)	(37)	(40)	(57)
Net profit (reported)	1,196	2,614	2,298	3,428	5,277	9,473	20,153	30,280
Net profit (adjusted)	1,196	2,614	2,298	3,428	5,277	9,473	20,153	30,280
EPS (reported)(TWD)	9.884	19.536	16.594	24.149	36.753	64.556	137.344	206.364
EPS (adjusted)(TWD)	9.884	19.536	16.594	24.149	36.753	64.556	137.344	206.364
EPS (adjusted fully-diluted)(TWD)	9.407	18.643	16.280	24.074	36.140	64.464	137.147	206.067
DPS (TWD)	6.000	11.660	9.850	14.500	22.000	38.734	82.406	123.818
EBIT	1,710	3,034	2,677	3,799	6,498	11,536	25,003	37,685
EBITDA	2,047	3,855	3,238	4,759	7,201	12,399	25,780	38,505

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,592	3,369	2,786	4,245	6,607	11,831	25,123	37,745
Depreciation and amortisation	430	469	536	597	648	703	726	810
Tax paid	(230)	(313)	(848)	(563)	(887)	(2,322)	(4,930)	(7,407)
Change in working capital	(952)	(840)	662	(1,211)	(1,348)	(4,262)	(8,202)	(8,407)
Other operational CF items	65	110	(78)	(177)	(246)	(135)	(70)	(50)
Cash flow from operations	905	2,795	3,057	2,891	4,774	5,815	12,647	22,691
Capex	(684)	(805)	(453)	(613)	(1,173)	(1,200)	(1,200)	(1,500)
Net (acquisitions)/disposals	(653)	(21)	270	179	146	131	131	131
Other investing CF items	(15)	(279)	(103)	(2,129)	13	0	0	0
Cash flow from investing	(1,352)	(1,105)	(287)	(2,563)	(1,014)	(1,069)	(1,069)	(1,369)
Change in debt	770	(246)	(222)	(744)	5,197	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(733)	(785)	(1,662)	(1,436)	(2,072)	(3,187)	(5,684)	(12,092)
Other financing CF items	(14)	(19)	(33)	(35)	(48)	0	0	0
Cash flow from financing	22	(1,050)	(1,917)	(2,215)	3,077	(3,187)	(5,684)	(12,092)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(425)	640	853	(1,887)	6,837	1,558	5,894	9,229
Free cash flow	221	1,897	2,597	2,371	3,791	4,615	11,447	21,191

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	2,648	3,317	4,156	2,267	9,134	10,692	16,586	25,816
Inventory	3,359	3,596	2,481	3,062	3,810	5,662	9,089	12,534
Accounts receivable	2,373	2,730	2,713	4,115	5,538	8,835	15,281	21,932
Other current assets	70	43	62	51	85	85	85	85
Total current assets	8,450	9,686	9,411	9,495	18,567	25,274	41,041	60,367
Fixed assets	4,436	4,675	4,833	4,852	8,073	8,570	9,044	9,733
Goodwill & intangibles	12	10	13	12	14	14	14	14
Other non-current assets	623	1,407	1,588	4,104	1,315	1,315	1,315	1,315
Total assets	13,521	15,777	15,846	18,462	27,969	35,174	51,414	71,429
Short-term debt	773	1,743	397	0	0	0	0	0
Accounts payable	1,882	2,176	2,052	2,790	3,521	4,463	6,189	7,933
Other current liabilities	224	619	335	630	932	99	99	99
Total current liabilities	2,878	4,537	2,785	3,420	4,453	4,562	6,288	8,032
Long-term debt	437	432	348	5	5	5	5	5
Other non-current liabilities	2,194	350	375	379	445	445	445	445
Total liabilities	5,509	5,319	3,507	3,804	4,904	5,013	6,739	8,483
Share capital	1,223	1,368	1,408	1,429	1,467	1,467	1,467	1,467
Reserves/R.E./others	5,854	8,152	10,070	13,037	21,370	28,429	42,904	61,118
Shareholders' equity	7,078	9,520	11,478	14,466	22,837	29,897	44,371	62,585
Minority interests	934	938	860	192	227	264	304	361
Total equity & liabilities	13,521	15,777	15,846	18,462	27,969	35,174	51,414	71,429
EV	655,392	655,692	653,346	653,826	646,995	645,474	639,620	630,447
Net debt/(cash)	(1,438)	(1,143)	(3,411)	(2,262)	(9,129)	(10,687)	(16,581)	(25,810)
BVPS (TWD)	58.480	71.142	82.877	101.919	159.052	203.748	302.395	426.526

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	28.6	36.7	0.3	18.4	42.0	58.0	75.7	42.4
EBITDA (YoY)	30.6	88.3	(16.0)	47.0	51.3	72.2	107.9	49.4
Operating profit (YoY)	52.8	77.4	(11.8)	41.9	71.1	77.5	116.7	50.7
Net profit (YoY)	19.6	118.6	(12.1)	49.2	54.0	79.5	112.8	50.3
Core EPS (fully-diluted) (YoY)	14.3	98.2	(12.7)	47.9	50.1	78.4	112.8	50.3
Gross-profit margin	31.3	36.0	33.5	37.6	41.6	47.3	50.0	52.0
EBITDA margin	23.3	32.0	26.8	33.3	35.5	38.7	45.8	48.0
Operating-profit margin	19.4	25.2	22.2	26.6	32.0	36.0	44.4	47.0
Net profit margin	13.6	21.7	19.1	24.0	26.0	29.6	35.8	37.8
ROAE	17.7	31.5	21.9	26.4	28.3	35.9	54.3	56.6
ROAA	9.6	17.8	14.5	20.0	22.7	30.0	46.5	49.3
ROCE	20.1	27.8	20.8	27.4	34.4	43.3	66.8	70.0
ROIC	23.6	30.1	23.7	28.7	39.7	55.5	84.5	92.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	22.2	21.1	19.2	19.6	19.6	19.6	19.6	19.6
Accounts receivable (days)	87.2	77.4	82.4	87.3	86.9	81.9	78.2	84.7
Current ratio (x)	2.9	2.1	3.4	2.8	4.2	5.5	6.5	7.5
Net interest cover (x)	67.9	183.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	60.7	59.7	59.4	60.0	59.9	60.0	60.0	60.0
Free cash flow yield	0.0	0.3	0.4	0.4	0.6	0.7	1.7	3.2

Source: FactSet, Daiwa forecasts

Company profile

Established in 1987, Jentech Precision Industrial is a leading global thermal-solutions and precision-metal components maker that serves leading semiconductor and server vendors. As of 2025, its revenue comprised thermal heat spreaders (73%), lead frames (9%), electronic components (7%), communication connectors (1%) and others (10%).

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	1 The CEO and chairperson of Jentech is the same individual, Mr. Zhao Zongxin. We note that Mr. Zhao has extensive long-term experience in senior management within the company and across its subsidiaries, which is a positive sign from an executive perspective.
	Capital management	1 Between 2021-25, Jentech has maintained a dividend payout ratio of around 60%, which we consider reasonable for balancing shareholder returns with reinvestment needs. This consistent approach reflects prudent capital management discipline and a stable financial policy.
	Related party & transaction	1 The company engages in transactions with subsidiaries primarily for normal operational purposes, such as purchase of materials and components. The proportion of these costs to overall COGS remains low, and no irregular or non-transparent transactions were identified.
E	Supply chain management	1 Jentech has a structured procurement process, including supplier evaluation, signature of procurement contracts, and requirements for compliance with environmental and safety regulations. The company also diversifies sourcing channels (major suppliers from Taiwan, Japan, Europe, Korea, USA) and maintains stable supply relationships, with clear communication protocols for prompt response to supplier issues. This reflects strong supply chain transparency and robust quality control measures.
E	Data security	1 The company has established an information security team, conducts annual internal control audits, and implements procedures such as asset inventory, network security monitoring, virus prevention systems, firewall management, and access rights control. Backup systems and disaster recovery mechanisms are in place, allowing the company to restore information system operations and minimize damage during major incidents or equipment failures.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 29 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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